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Our ref: **IM-73007**

1 August 2025

Dear Interested Party

Re: ACCC seeking your views: Bega's proposed acquisition of Fonterra businesses

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Bega Cheese Limited (**Bega**)'s proposal to acquire certain businesses from Fonterra Co-operative Group Limited, a New Zealand-based cooperative (**Fonterra**) (the **proposed acquisition**).

Bega is proposing to acquire some of Fonterra's consumer, food service and dairy ingredients businesses in Oceania, including its Australian businesses. FrieslandCampina NV, a Dutch-based multinational dairy company, is joining Bega in its bid. If the joint bid is successful, FrieslandCampina NV will acquire the segments of Fonterra's global businesses that it is selling outside of Oceania, and Bega will acquire the Oceania businesses that are being sold.

In Australia, Bega and Fonterra overlap in various parts of the dairy supply chain, including:

- the acquisition of raw milk from dairy farmers in Victoria, Tasmania, and parts of New South Wales and South Australia
- milk processing and the production of a range of dairy products (including cream, cheese, butter and milk) and dairy ingredients (including milk powders)
- the supply of dairy products and dairy ingredients to retailers and food service businesses.

Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on whether the proposed acquisition would likely:

- reduce competition in the acquisition of raw milk in the areas where the parties overlap
- reduce competition in the supply of milk processing services to processors and retailers in the areas where the parties overlap
- reduce competition in the wholesale supply of:

- dairy products, such as milk, cheese, butter and cream, and
- dairy ingredients, such as milk powders.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **15 August 2025** via email to mergers@accc.gov.au with the title: *Submission re: Bega / Fonterra.* If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at (ACCC mergers register).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

Morag Bond

Morag Bond
General Manager
Merger Assessments

Attachment A

The acquirer – Bega

Bega is an ASX-listed dairy and food products company which was founded in 1899 and is headquartered in the town of Bega, New South Wales. It is one of Australia's largest purchasers of raw milk, collecting 1.3 billion litres of raw milk annually under more than 600 farmer supply contracts and employing around 3,900 staff across 19 manufacturing sites and corporate offices. In FY24, it earned $3.52 billion in revenue and its statutory EBITDA was $165.1 million.

Bega's business includes acquiring raw milk from farmers and processing it into dairy products such as fresh drinking milk, flavoured milk, cheese, butter, cream and yoghurt. As well as the Bega brand, Bega's retail brands in Australia include Dairy Farmers, Farmers Union and Pura.

Bega also supplies dairy products to businesses in the food service sector, under brands such as Dairy Farmers and Farmers Union.

In addition, Bega manufactures a range of dairy ingredients, such as milk powders and whey powders, which it supplies primarily to food manufacturers.

The target – Businesses within the Fonterra Co-operative Group

Fonterra is a dairy co-operative owned by around 8,000 New Zealand farmers.

The Fonterra Group's business in New Zealand focuses on processing raw milk from its farmers into various dairy products as part of its consumer, dairy ingredients and food service businesses. Fonterra's Australian division employs around 1,500 staff and sources raw milk from around 650 dairy farmers based in Victoria, Tasmania and parts of South Australia and New South Wales. Fonterra currently operates 8 processing plants in Victoria and Tasmania.

In Australia, Fonterra processes the raw milk it acquires into a range of dairy products, such as fresh drinking milk, cheese, butter, cream and milk powders, which it supplies to domestic and international customers such as retailers and food manufacturers.

Fonterra's retail brands include Mainland, Western Star and Perfect Italiano, and it holds a licence to use the Bega brand to sell certain packaged cheese products in Australia. Fonterra also supplies milk, cream, cheese and butter products to food distributors through its Anchor Food Professionals brand.

Attachment B

General questions

1. Please describe your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with Bega or Fonterra.

Questions for dairy farmers

2. Please list the businesses to which you currently sell raw milk. Where relevant, please indicate whether the business is a processor, milk broker, retailer, or other customer type.
3. Who are the key purchasers of raw milk in your region, and would the proposed acquisition reduce your ability to get a competitive price for your raw milk? Please provide reasons for your view.
4. Are there any purchasers in your region that you can't sell your raw milk to? Why?
5. What factors do you consider in who you sell your raw milk to (e.g. price, distance to processing plant, non-price incentives), and how do you weigh these factors up against each other?
6. What is the volume of raw milk you supply per annum? If possible, please break the volumes down by purchaser. Where relevant, please also provide details of your calving pattern (i.e. seasonal, split or year-round) and whether your calving pattern influences the processing plant that you supply to.
7. If farmgate prices for raw milk acquisition were to decrease by 5-10%, how would you respond? What options would you consider and why?

Questions for dairy processors

8. What are the main dairy product categories you supply in Australia? For example, fresh milk, UHT milk, cheese, cream, chilled yellow spreads (such as butter), or dairy ingredients (such as milk powders).

9. Which purchasers of raw milk do you consider are currently your closest competitors in in Victoria (including south-eastern South Australia and the southern Riverina area of New South Wales), and/or Tasmania? If there are purchasers in these regions you don't compete strongly with, please explain why this is the case.

10. Do you think the proposed acquisition would affect competition for the acquisition of raw milk in any regions of New South Wales, Victoria and/or Tasmania, taking into account the location of Bega's and Fonterra's respective facilities, production profiles and other factors? If yes, please explain how. If no, please explain why not.

11. Do you consider that there are separate markets for the supply of dairy products to grocery stores (such as supermarkets), and petrol stations & convenience stores, or single retail supply markets that encompass supply to all these businesses?

Questions for retailers and food service businesses

12. What dairy products do you currently acquire from either Bega or Fonterra? If applicable, please outline any private-label or toll processing agreements you have with either of them. If relevant, please provide recent examples of tenders or other purchases where Bega and Fonterra have closely competed to supply dairy products to you.
13. Are there other providers you could acquire these products from (e.g. other processors

or imports)? If not, please explain why not.

14. If prices for dairy products you purchase (including private-label products) increase by 5-10%, how would you respond? What options would you consider and why? Are there products for which you would have no effective options?
15. If the proposed acquisition went ahead, do you think this would change the prices or other terms on which you acquire any particular dairy product in Australia?
    - If so, would these effects be greater for specific product varieties or in certain areas of Australia? For example, would some varieties of cheese experience a bigger price change than others, or would cream products experience a bigger price change in some regions than others? Why or why not?

Other information or competition issues

16. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.